THE 2026 OUTLOOK

Why Now, Why *Living*?

Shrinking nations, expanding cities. In 2026, eighteen global research and investment houses converge on a single conclusion. This essay reads the structural shift across Asia-Pacific's Living sector through the lens of urban economics.

FRAMEWORK

Bid-Rent · Agglomeration
Supply Elasticity · Tiebout Sorting

COVERAGE

9 gateway cities across 7 markets
Tokyo · Seoul · Singapore · Sydney

FORMAT

Longform Essay
≈ 18 min read

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CONTENTS

Reading the *structural shift*

Six chapters tracing how capital, supply, and households are reshaping APAC Living — and where alpha will be found in 2026.

I The Question 04

Beginning with one question

II The Three Shifts 07

Households · Supply · Capital

III The Framework 11

Alonso · Marshall · Glaeser · Tiebout

IV The Markets 15

Tokyo · Seoul · Singapore · Sydney · Others

V The Playbook 22

Core · Core+ · Value-Add · Opportunistic

VI The Headwinds 25

Macro · Policy · Execution risks

— Closing & Sources 27

20 institutional references

I

THE QUESTION

Beginning with *one question*

As global capital fixes its gaze on APAC residential markets in 2026, we trace the three structural shifts behind the convergence, read through the classical frameworks of urban economics.

In the autumn of 2025, something unusual surfaced across the global real estate industry. CBRE and JLL, Blackstone and Nuveen, PGIM and Hines — eighteen major research and investment institutions, each with different mandates and methodologies, began pointing in the same direction.

> **THE CONVERGENT RECOMMENDATION**
>
> *Incorporate APAC Living as a core asset allocation in your portfolio.*

BREIT — Blackstone's flagship real estate income trust — holds 19% in multifamily, 8% in student housing, 8% in affordable housing, and 7% in single family rental as of Q1 2026, with total rental housing exposure reaching 43% of fund AUM.[4] Hines titled its 2026 outlook *Cleared for Takeoff*, reporting that "more than 80% of households in developed markets now lean toward renting over owning."[5] JLL projected global Living investment would surpass USD 250 billion in 2026 — a historical first.[1] PGIM's 2026 Best Ideas was even more direct: *Global Living: Tapping into Structural Growth*.[6]

And increasingly, this gaze has turned toward APAC — not a single market, but the region as a whole. Tokyo for its depth. Sydney for its platform maturity. Singapore for its state-backed stability. Seoul for its institutional vacuum.

$250B+	+130%	33%	<0.3%
2026 Global Living Investment	**APAC Fundraising Growth**	**Cross-Border Share**	**Korea Institutional MF Stock**
JLL Projection	vs 2024	Highest Since 2019	vs 5–10% Mature Markets

And so the question follows: *Why now? Why Living?*

Analyses with such different starting points rarely converge on a single destination. When they do, the accurate term is not "consensus" but convergence. And where convergence happens, something structural is almost always waiting underneath. This is exactly where APAC Living stands today.

The question this report pursues is simple. Why is so much capital flowing into APAC Living — and why now? And where should that capital go?

> *When analyses from different starting points converge on a single destination, the phenomenon is almost always structural.*

The answer lies in three simultaneous shifts. The shape of households has changed. The door to new supply has slammed shut. And the very ownership of capital is being reshaped. This essay traces these three shifts in turn, then examines how urban economics — refined between the late 19th and mid-20th centuries — illuminates what we're seeing today. Old theories often explain new phenomena well. The classics, after all, capture universal principles.

II

THE THREE SHIFTS

Households, Supply, *and Capital*

Structural change doesn't arrive all at once. It unfolds at different layers, at different speeds — and one day, it simply overlaps into a single picture.

Shift One · The *Household*

The first shift begins at home — literally. Across APAC's advanced economies, single-person households are now the fastest-growing household type, propelled by delayed marriage, rising divorce rates, and accelerating aging. The composition is changing in parallel: the unmarried thirtysomething, the divorced fortysomething, and the elderly living alone each now count as a household of one, and their share of the total is rising at a remarkable pace.

According to Statistics Korea, the country's single-person household share rose from 27.2% in 2015 to 35.5% in 2023 — an 8.3-percentage-point increase in eight years.[7] Seoul itself moved from 29.5% to 39.3% over the same stretch. Japan has already crossed 38%, Australia 26%, and Hong Kong roughly 20%. Across nearly every advanced economy in APAC, with the exception of Singapore, single-person households are the fastest-growing household type.

What these numbers mean runs deeper than they appear. Even as total population declines, the number of households keeps rising. The unit that drives housing demand is not "population" but "households." Korea's total population peaked in 2020 and has begun to contract, yet household count is projected to keep expanding through 2050. Japan follows the same pattern. This dynamic is sometimes described as *shrinking nation, growing city*.

What deserves closer attention is the composition of these households. Korean singles aged 20 to 40 concentrate, overwhelmingly, in the largest cities. They defer or abandon the path to ownership, staying in the rental market for extended periods. According to M&G Investments, more than half of Seoul's nine million residents rent.[3] And this isn't only Korea's story. In both Japan and Korea, more than half of all households have long since settled on the rental side of the ledger — not the ownership side.

To summarize: single-person households are growing, staying in the rental market longer, and gravitating toward the largest cities. The demand picture is that clear. One figure from Hines' 2026 outlook lingers. Across its surveyed developed markets, more than 80% of households now show momentum toward renting rather than buying — the same threshold cited at the outset of this report.[5] Renting is no longer the default — it has become the choice.

Shift Two · The *Supply*

The second shift unfolded on the supply side — or more precisely, it didn't unfold at all. Here we must pause on Harvard urban economist Edward Glaeser. In the early 2000s, he and his collaborator Joseph Gyourko redrew the map of real estate markets with a single concept: housing supply elasticity.

Supply elasticity (ε_s) is simple in concept. It measures how much supply expands when prices rise by 1%. When this value approaches 1, supply rises to match demand, and the market finds its balance. When it drops below 0.3, the story changes. Over 70% of demand shocks pass straight through to prices and rents. Supply, quite simply, doesn't budge.

Run the numbers on APAC's gateway cities, and the results are striking. Tokyo 0.3–0.5. Seoul 0.2–0.4. Hong Kong 0.1–0.3. Singapore 0.3–0.5. Every single one is structurally inelastic. By contrast, Shanghai at 0.8–1.2 and Mumbai at 0.6–1.0 fall on the elastic end. Where does the difference come from?

FIGURE 01 · SUPPLY ELASTICITY SPECTRUM

Why supply doesn't *move* in APAC's gateway cities

When supply stops, rents move

0.1–0.3	0.2–0.4	0.3–0.5	0.8–1.2
HONG KONG	**SEOUL**	**TOKYO · SINGAPORE**	**SHANGHAI**
Government land monopoly · heavy holding tax	Cost & land surge · layered tax burden	Construction cost · planned supply modulation	Government-led mass supply

The reasons differ by city, but the result points in a single direction. In Seoul, construction costs have risen by approximately 30% since 2020 (KICT Construction Cost Index), with individual project escalations running materially higher in select cases, land prices sit at historic peaks, and a tower of acquisition, holding, and capital gains taxes has crushed new-supply economics. In Tokyo, construction costs weigh on already high-density land. In Hong Kong, the government monopolizes land itself. Singapore runs a system where planning authorities match supply to demand.

Source · Author's estimates applying the Glaeser-Gyourko supply elasticity framework to APAC gateway cities [13]

Supply doesn't budge. Demand keeps structurally surging. Where rents head is already written on the first page of the economics textbook.

Shift Three · The *Capital*

The third shift is happening in the ownership of capital itself. The hands that move capital in APAC's Living market look different in every city. In Tokyo, it's the developers. In Singapore, the state. In Sydney, global institutions. In Seoul, the market was long driven by jeonse — a Korean rental structure where tenants make a large lump-sum deposit (often 60–80% of property value) in lieu of monthly rent, with landlords deploying the deposit as interest-free capital. For decades, Seoul's rental market ran on this informal finance network. But since 2022, the jeonse framework has begun to crack. The market is shifting toward a monthly-rent, cash-flow-based model with unusual speed.

When the face of capital changes, so does the character of the market itself. In August 2025, a new corporate nameplate appeared in Seoul's Magok district: The Living Company Korea. Australia's largest residential real estate group had just established a Korean subsidiary.[9] Two months earlier, in July, the world's largest rental housing operator — Greystar, managing USD 79 billion in assets across 1.1 million units globally — opened a Seoul office.[8] Morgan Stanley, KKR, and Hines have openly been studying the Korean market for years.

They arrived at the same conclusion from different angles. What's revealing is the entry point they're targeting. It isn't the opening of the Korean market itself. It's the gap — the space left empty while domestic institutional capital has hesitated.

Korea is simply the most visible case; the same scene plays out across APAC. In Australia, Build-to-Rent (BTR) has graduated from a niche product into a mainstream institutional asset class. Japanese multifamily has firmly established itself as an "income anchor" in global core strategies. According to Colliers, fundraising targeting APAC rose more than 130% versus 2024, with 11% of all new global capital now heading to the region. The share of cross-border capital has surged to 33% — its highest level since 2019.[2]

Capital doesn't lie. When capital moves at scale — persistently, even establishing new regional entities — there is always a structural shift behind it. The demand-supply imbalance we've just traced. And now, a third axis joins the picture: the changing ownership of capital itself. This is the final piece that, in 2026, moves APAC Living from *"emerging"* to *"core."*

> *Capital doesn't lie. Where it moves at scale and persistently, a structural shift is always waiting underneath.*

III

THE FRAMEWORK

Old theories explain the *newest* phenomena

Alonso's bid-rent. Marshall's agglomeration. Tiebout's voting with feet. Textbook frameworks from sixty years ago turn out to be the keys that unlock APAC Living in 2026.

A single framework threads through the three shifts we've traced. Urban economics.

In 1964, the American economist William Alonso introduced a deceptively simple formula in his doctoral thesis.[10] Rent at any point in a city, R, equals the rent at the central business district (CBD), R_0, minus commute cost *t* multiplied by the distance *d* from the CBD. Add a neighborhood premium ε — amenities, school zones, safety — and you have the final rent. Known as the Alonso-Muth-Mills bid-rent model, this formula has been the foundational framework for urban real estate analysis for six decades.

$$R(d) = R_0 - t \cdot d + \varepsilon$$

The implications for APAC Living today are sharp. In cities where commute cost *t* is high — cities where commuting is long and grueling — the premium for multifamily near the CBD structurally widens. Seoul ranks among the world's highest-commute-cost cities. The real commute-time gap between Gangnam and outer districts, and the rent gradient that gap produces, forms the foundation for studio and multifamily investment in Seoul.

But the Alonso model leaves one question unanswered: why do people flock to such expensive cities in the first place? That question was already answered in 1890 by the 19th-century economist Alfred Marshall.[11]

Marshall argued that when industries cluster in a specific region, productivity rises for three reasons. First, knowledge spillovers: when people doing similar work sit close together, learning spreads naturally. Second, labor pooling: the probability of talent and jobs matching up rises. Third, input sharing: specialized services and supply chains can be shared across many firms. Modern economists bundle these three effects under a single term: agglomeration economies.

Empirical studies estimate that a doubling of population agglomeration raises per-capita productivity by roughly 4–8%, though estimates vary widely across studies and city contexts.[12] The numbers look small, but they compound. Seoul's economic density is several multiples that of Korea's second-tier cities, and the resulting productivity premium translates into wages, and wages into the purchasing power to absorb higher rents. What Seoul attracts isn't so much "people" as "high-wage jobs" — and the people whose wages can absorb the resulting rents.

This is where Korea's distinctiveness comes into focus. Among OECD nations, Korea exhibits one of the most extreme primate city structures. The Seoul Capital Area alone holds half the country's population and 52% of its GDP.[7] The concentration is markedly sharper than Japan's (Greater Tokyo around one-third of national GDP) or Australia's (Sydney and Melbourne combined near 40%). The implication for Living sector investment is anything but minor: *Living investment in Korean cities outside Seoul is, in practice, a different asset class altogether.*

We covered the third theory — Glaeser's supply elasticity — in the previous chapter.[13] The fourth is Charles Tiebout's 1956 model. Tiebout assumed that "people choose where to live by weighing the combination — the bundle — of taxes and public services on offer." He called this behavior *"voting with their feet."*[14]

Today's institutional Living operators — Greystar, Cortland — package what look like private-sector analogs of Tiebout's public goods: "bundles of private public goods." Concierge service, shared fitness, co-working space, 24-hour security, community programming — plus brand trust. The quality of this bundle determines the rental premium. Institutionally operated co-living buildings in Korea have been observed to command meaningful premiums to nearby private rentals — a vivid commercial demonstration of how Tiebout's model translates beyond the public sector.

> *Lay the four theories side by side, and almost every phenomenon unfolding across APAC Living today finds its explanation.*

Alonso tells us why the CBD premium widens. Marshall, why people pile into such expensive places. Glaeser, why supply fails to keep pace with demand. Tiebout, why institutional operators are reshaping the rental market.

Nine Cities, *One Measure*

Agglomeration economies, supply inelasticity, demographic fit, institutional maturity, capital liquidity, and policy stability. Scored on a 1–5 scale across these six dimensions, the Urban Economics Score (UES) compresses structural favorability for Living sector investment into a single number. 23 points and above is Tier 1; 18–22 is Tier 2; below 18 is Tier 3.

FIGURE 02 · URBAN ECONOMICS SCORE

Nine APAC gateway cities *ranked*

Tokyo 29 — and the four cities on its heels

CITY	SCORE	TIER	DISTINCTIVE EDGE
Tokyo	29	Tier 1	Near-perfect across every indicator
Seoul	25	Tier 1	Structural potential despite institutional gap
Singapore	25	Tier 1	State-backed stability
Osaka	25	Tier 1	Japan's second income anchor
Sydney	23	Tier 1	Global capital depth in BTR
Melbourne	22	Tier 2	BTR scale behind Sydney
Hong Kong	21	Tier 2	Extreme supply inelasticity
Shanghai	18	Tier 2	Policy-driven supply
Mumbai	17	Tier 3	Early-stage growth trajectory

Source · Author's proprietary calculation. Underlying data from CBRE, JLL, Savills, and Colliers 2026 APAC Living Outlooks

Old theories explain the newest phenomena.
That is the enduring virtue of good theory.

IV

THE MARKETS

The owner of capital *defines* the market

APAC's gateway Living markets don't share a single face. Who drives capital differs. How cash flow is engineered differs. And so the character of each market diverges. Change the frame, and the landscape changes with it.

APAC market analysis has largely been conducted in the language of "maturity" — Mature, Institutionalizing, Developing. The taxonomy is useful, but it doesn't quite answer the question investors actually face: *"In this market, whose hands move the money?"* Who allocates the assets. What logic engineers the cash flow. And what character does the market take on as a result. The answers to these three questions are what truly separate these markets.

Viewed through this three-axis lens, each of the four cities reveals its distinct character. In Tokyo, real estate developers pool and deploy capital. In Seoul, the jeonse-based informal finance structure has long stitched together individual capital — and that framework is now shifting toward monthly-rent dominance. In Singapore, the public sector holds both supply and capital in a single grip. And Sydney is the arena where global institutional capital competes. Under the shared banner of "Living," these four markets are, in practice, four different asset classes.

FIGURE 03 · MARKET ARCHITECTURE

Four cities, four *logics of capital*

Capital Allocation · Cash Flow · Market Character

JP TOKYO

A DEVELOPER-LED MARKET

CAPITAL Led by **J-REITs and major real estate corporations** (Mitsui Fudosan, Mitsubishi Estate, Tokyu Land). Legacy assets converted into professionally serviced rental housing.

CASH FLOW Commercial real estate built on stable, predictable monthly rent. Strategy maximizes spread in a low-rate environment with operational efficiency as the engine.

CHARACTER A polarized market where peripheral capital dissipates while central-city density reinforces itself.

KR SEOUL

JEONSE-BASED INFORMAL FINANCE

CAPITAL Driven by **individual capital (gap investors)** rather than institutions. Government channels private capital through public rental and station-area policies.

CASH FLOW Capital sourced through interest-free deposit loans, producing a model heavily skewed toward capital gains rather than cash flow. Now shifting to monthly-rent.

CHARACTER Highly sensitive to policy shifts (interest rates, lease law). Recent moves have made private entry structurally difficult.

SG SINGAPORE

STATE-CONTROLLED SUPPLY & CAPITAL

CAPITAL	The **Ministry of National Development and HDB** control everything from land to financing. Capital deployed with "social stability" as paramount objective.
CASH FLOW	Structured around securing national capital health through the democratization of asset ownership. CPF-anchored sustainable framework.
CHARACTER	In theory, value converges to zero at 99-year lease expiration. Housing is a composite financial instrument with policy options embedded.

AU SYDNEY

GLOBAL CAPITAL COMPETITION

CAPITAL	The battleground where **global investment banks and pension funds** deploy Build-to-Rent (BTR) capital.
CASH FLOW	Premium monthly-rent structures targeting high-income professionals. Combines operational scale with long-term appreciation.
CHARACTER	**Tension between housing affordability and investment returns.** As capital rises, supply expands — but so do prices.

Source · Remarble Proprietary Analytical Framework

These four portraits don't capture the entirety of APAC Living, but they show at a glance why each market has taken its current shape, and which kinds of capital can take which positions.

I Tokyo

DEVELOPER-LED · UES 29

If Tokyo's Living market had to be summed up in a single sentence: *"A market where real estate developers hold and deploy the capital."* Major developers like Mitsui Fudosan, Mitsubishi Estate, and Tokyu Land develop the assets, liquify institutional capital through J-REITs, and entrust long-term operations to affiliated management entities. Development, holding, and operation all linked within a single capital cycle — the most fully integrated structure in APAC.

The cash-flow logic flows directly from this structure. A foundation of stable, predictable monthly rent, leveraged against a long-running low-rate environment to maximize the spread. Operational efficiency is the real engine of returns. As Savills IM's 2026 APAC Living Outlook records, vacancy rates across Tokyo, Osaka, and Nagoya have hovered near 3% for over a decade — with barely a wobble.[16] Global financial crisis, COVID pandemic, yen collapse — through every macro cycle, the number held. That is why Japanese multifamily earns the moniker "income anchor."

The market's character becomes equally clear. A polarized market where peripheral capital dissipates while central capital density grows denser still. Tokyo is where the Alonso model operates in its purest textbook form. Multifamily within the JR Yamanote Line loop — Tokyo's urban core inside the 23 special wards — commands a structurally elevated rent premium over outer wards and surrounding suburbs, with central 5 wards (Chiyoda, Chuo, Minato, Shibuya, Shinjuku) trading at meaningful multiples of peripheral submarkets per At Home and SUUMO listings data, and the gap doesn't easily shift.

One variable demands attention in Tokyo for 2026: the Bank of Japan's monetary policy normalization. The moment short-term rates approach 1% and 10-year JGB yields cross 2%, cash-flow profitability for multifamily trading at 3–4% cap rates comes under pressure. Value-add strategies dependent on heavy leverage take the direct hit. Which is why the Tokyo playbook is clear: keep leverage low (LTV 45–55%), hold assets long, and focus on NOI growth. Rent reversion — the effect of existing below-market rents being adjusted to market upon lease renewal — offsets much of the BOJ normalization headwind.

TOKYO · KEY METRICS

3.5–4.0%	5–7%	~3%	45–55%
23 WARDS CAP RATE	**CORE TARGET IRR**	**DECADE VACANCY**	**RECOMMENDED LTV**
Core Multifamily	10+ year holds	Tokyo · Osaka · Nagoya	Core Strategy

II Seoul

INFORMAL FINANCE-DRIVEN · UES 25

To understand Seoul's Living market, you must first understand jeonse. Virtually unfindable anywhere else in the world, this institution looks like a lease contract on the surface, but its essence is a vast network of interest-free informal finance between individuals. A tenant deposits hundreds of thousands of dollars with a landlord for two years; the landlord leverages this interest-free loan to buy the next property. For decades, capital in Seoul's residential market has moved within this structure.

Seoul's asset allocation has thus been driven not by institutions but by individual capital — so-called gap investors. The government has channeled private capital toward specific nodes through public rental and station-area shift policies, but it has not moved the game board itself from individual to institutional hands. The result: while more than half of Seoul's nine million residents live in rented homes,[3] institutional-grade professionally managed multifamily stock targeting this vast tenant pool accounts for less than 0.3% of all housing. Given that the US and Japan reach 5–10%, with the UK's BTR sector still rapidly institutionalizing, the gap itself measures the scale of the opportunity.

"From Jeonse to Operations." If the last three years of Seoul's rental market can be compressed into a single sentence, this is it. A surge in jeonse fraud, the collapse of deposit-based returns under higher rates, and tenants' growing preference for monthly rent have converged — and the market is rapidly shifting its metabolism toward a cash-flow-centric model. The grammar of Seoul residential investment — capital-gain-centric for two decades — is shifting for the first time to monthly-rent-based cash flow.

Yet just as the window of transition opens, another wall rises. Seoul's market is exceptionally sensitive to policy shifts. Heavy corporate acquisition taxes on residential property, holding taxes, and capital gains taxes have piled up. Domestic institutions, layered with reputational risk and risk-averse tendencies, have effectively frozen their residential sector exposure. Private entry institutionally blocked — this is Seoul in 2026.

With BTR effectively halted, Value-add and Conversion strategies have emerged as the practical entry routes. Rather than new construction, the approach is acquiring existing buildings — aging offices, hotels, gosiwon, and residential-hotel facilities — and reshaping them into institutional-grade co-living, PBSA, and serviced apartments.

The presence of global operators is expanding rapidly. In July 2025, Greystar opened a Seoul office.[8] A month later, The Living Company established a Korean entity in Magok.[9] KKR, Hines, and Morgan Stanley are also actively sounding out the Korean market. Their shared calculus is singular: *Institutional Pre-emption* — staking claims in the space domestic institutions have left empty.

> **THE SEOUL THESIS**
>
> *The capital that wins in Seoul's gap is the capital that first accepts the detour — not new BTR construction, but the reshaping of existing assets.*

SEOUL · KEY METRICS

4.0–5.0%	Premium	13–17%	<0.3%
CO-LIVING CAP RATE	**INSTITUTIONAL OPS**	**VALUE-ADD IRR**	**INSTITUTIONAL MF**
Operating Prime	vs Private Rentals	Conversion Strategy	Share of Total Stock

III Singapore

STATE-LED · UES 25

Singapore is APAC's most distinctive Living market. Because the owner of capital is neither an institution, nor a developer, nor an individual — but the state itself. The Ministry of National Development (MND) and Housing Development Board (HDB) hold in one hand everything from land supply to financing, deploying this capital with social stability as the paramount objective. That 80% of the market consists of HDB public housing is both the outcome and the design.

The cash-flow logic differs fundamentally from every other market. The ultimate goal of Singapore's housing policy is securing national capital health through the democratization of asset ownership. Residents use space at reasonable cost, while the state maintains a sustainable cost-management framework anchored on the Central Provident Fund (CPF). The starting point of design is not maximizing individual investors' monthly rental returns, but national-level asset distribution and liquidity management.

Another distinctive feature of Singapore housing is the nature of ownership itself. HDB is supplied as a 99-year land-lease structure, and in theory, property value converges to zero at the lease's 99-year expiration. But this is merely a structural premise — in reality, the HDB market is a vibrant vehicle for wealth accumulation, equipped with an active Resale Market. The HDB resale price index has climbed materially over the past five years, supported by lease-extension policies (Lease Buyback) and redevelopment programs (SERS, VERS) that periodically refresh the underlying asset base.

For institutional investors, Singapore's meaning is limited yet clear. While the private rental segment accounts for only 20% of total stock, demand for premium serviced apartments — anchored by foreign professionals and expatriate communities — remains steady. Yet this market is a stability story, not a growth story. Singapore Living exposure is best understood as a complementary income anchor within a portfolio — supporting growth alpha from other markets.

IV Australia

GLOBAL CAPITAL COMPETITION · UES 23

What strikes you first about Sydney's BTR market is the nationality of the capital. Australia is APAC's most intense arena for global capital competition, where global investment banks and overseas pension funds pour Build-to-Rent (BTR) capital into the market. On top of local operator platforms like Mirvac, Frasers, Greystar Australia, and GURNER, players including KKR, Blackstone, CBRE IM, GIC, and CPPIB simultaneously build positions. This is why BTR — classified as niche just five years ago — has now firmly established itself as an institutional core asset class.

The cash-flow logic is crisp. Premium monthly-rent structures targeting high-income professionals, combined with operational scale optimization and long-term asset appreciation. Immigration sustains this structure. Sydney ranks among APAC's largest recipients of net migration, with annual net inflows in the range of 150,000–200,000 in recent years. Marshall's agglomeration effects work powerfully through finance, tech, and education, with rental demand outpacing supply annually. Sydney metropolitan residential vacancy has remained near 1.0–1.5% through 2025–2026 (SQM Research) — statistically near full occupancy across the rental market.

One fundamental tension underlies the Australian market: the tension between housing affordability and investment returns. This is why Australia's most important variable in 2026 is the May federal budget. According to HSF Kramer, the current government is likely to continue BTR-promotion policies (land tax and withholding tax relief),[18] but adjustments to the Managed Investment Trust (MIT) taxation framework or foreign investor surcharges could become decisive variables for investor confidence.

SYDNEY · KEY METRICS

4.75–5.25%	10–13%	150–200K	~1.0%
BTR CAP RATE	**CORE+ IRR**	**ANNUAL NET MIGRATION**	**METRO VACANCY**
Prime Assets	7–10 year holds	Sydney structural demand	SQM Research, residential

V Other Markets

SELECTIVE APPROACH

Hong Kong has emerged from prolonged stagnation into an early recovery phase. In PwC-ULI's *Emerging Trends in Real Estate APAC 2026*, its investment attractiveness ranking jumped nine places year-over-year to 10th.[19] APAC's most extreme supply inelasticity (ε_s 0.1–0.3) creates structural upward pressure on rents. JLL identifies Hong Kong PBSA as a promising 2026 asset — a segment with clearly identifiable demand from mainland Chinese and international students.

China demands cautious approach. Since 2017, the government has designated hundreds of sites for rental-housing-only use, supplying over 200,000 multifamily units — and this large-scale public supply structurally suppresses private institutional returns. Supply elasticity of 0.8–1.2 ranks among the highest in APAC. Transactions are led primarily by domestic capital; large-scale new foreign institutional entry remains limited.

India stands at the threshold of growth. With population and economic growth rates among APAC's highest, Colliers' 2026 Global Investor Outlook identifies it as one of the fastest-rising markets by investor preference.[20] That said, the institutional Living market remains in an early phase, centered on PBSA and premium serviced apartments. Long-term exposure is worth considering, but 2026–2027 allocation weighting is best kept selective.

V

THE PLAYBOOK

The character of capital *defines* the entry point

Not every investor can stand in the same place. Capital duration, risk tolerance, and operational capability ultimately separate the strategies.

Within APAC Living, the full spectrum — Core to Opportunistic — sits open under a single theme. The character of capital determines which seat each investor takes.

Long-duration income-seeking capital — pension funds, insurers — targets Japanese and Singaporean urban multifamily through a Core strategy. Low leverage (LTV 40–50%), 10+ year holds, and target IRR of 5–7%. Effectively a bond substitute.

Asset managers' balanced play lands at Core+. Australian BTR platforms, Japanese Tier-2 city multifamily, and Australian PBSA are the main targets. LTV 50–60%, 7–10 year holds, target IRR 7–10%. Stable income layered with moderate growth.

Value-Add is the domain of capital with operational capability. Seoul in particular, where greenfield BTR has effectively halted under the triple pressure of land costs, construction costs, and regulation, makes Conversion — acquiring existing assets and transforming them into institutional-grade co-living, PBSA, and serviced apartments — the de facto primary strategy. In Australia, repositioning and brand upgrades drive NOI growth in parallel. Target IRR of 12–15% is the realistic expectation.

Finally, Opportunistic strategy targets the institutional gap in Korea and Hong Kong. Institutional Pre-emption — where global LPs stake early claims on core-location co-living and senior platforms in the vacuum left by domestic institutions — is central. Target IRR 17–22% with a short 3–5 year hold. This is terrain where execution capability determines outcomes, making partnerships with trustworthy local operators the single most important factor.

FIGURE 04 · STRATEGY MATRIX

Four strategies, four *capital profiles*

STRATEGY	MARKET · SECTOR	LTV	HOLD	TARGET IRR
Core *Bond-substitute income*	Japan · Singapore Urban Multifamily	40–50%	10+ yrs	5–7%
Core+ *Income + growth balance*	Australia · Japan Tier-2 Multifamily · PBSA	50–60%	7–10 yrs	7–10%
Value-Add *Execution-driven*	Seoul · Australia Conversion · Repositioning	55–65%	5–7 yrs	12–15%
Opportunistic *Institutional pre-emption*	Seoul · Hong Kong Co-Living · Senior Platforms	60–70%	3–5 yrs	17–22%

Note · Ranges per PERE/INREV APAC convention; author calibration. Refs: PGIM, LaSalle, PwC-ULI [6, 19, 20]

In the End, the Portfolio Is a *Question of Allocation*

From a global Living perspective, we recommend raising APAC exposure from the current 15–20% to 20–30%. Allocation within APAC follows a "Dual-Duration" principle — pairing stable income anchors with growth alpha in the same portfolio.

FIGURE 05 · RECOMMENDED APAC ALLOCATION

Dual-duration *portfolio architecture*

Recommended target ranges across four buckets — APAC Living strategic allocation

MARKET	ROLE	DURATION	ALLOCATION
Japan Tokyo · Osaka · Nagoya	Core Income Anchor	Long	40–50%
Australia Sydney · Melbourne	Core+ Growth Engine	Medium	20–25%
Korea Seoul Co-living · PBSA	Value-Add · Opportunistic Upside	Short-Medium	15–20%
Other Singapore · HK · India	Stability Complement · Long Positions	Variable	12–18%

Indicative base case (midpoint) · Japan 45% · Australia 22% · Korea 18% · Other 15% — summing to 100%. Use as a starting reference; individual LP positioning may move within the ranges above.

Derivation · Weighted across three dimensions — market institutional depth (40%), risk-adjusted return potential (35%), and capital liquidity (25%) — calibrated against UES scoring and 2025 cross-border transaction volumes.
Note · Author's recommended allocation. PGIM, LaSalle, and PwC-ULI reports referenced for analytical framework only; figures are not endorsed by named institutions. Ranges are indicative and not jointly achievable at upper bounds; sizing should reflect individual LP duration, risk profile, and existing exposures, with rebalancing within these guideposts.

DUAL-DURATION RATIONALE

Japan's largest weight is not a defensive choice. Only when stable income underpins the core can Korea's and Australia's growth alpha be pursued over a long horizon. Dual-duration is not a hedge — it is an architecture.

VI

THE HEADWINDS

Good outlooks also mark *where they could miss*

No matter how sound the structural outlook, analysis that fails to mark where scenarios could diverge is only half-complete. Here we honestly lay out where the thesis could go wrong.

Every opportunity carries its shadow. We examine the risks facing 2026 APAC Living across three layers.

MACRO RISKS

Monetary Policy Divergence

If BOJ's policy rate normalization proceeds faster than expected, Japanese asset prices cannot avoid repricing. The moment 10-year yields cross 2.5%, cap rates could widen by 50–100 bps. The largest risk for portfolios with heavy Japan exposure.

Geopolitical Tensions

Heightened tensions in the Taiwan Strait or Korean Peninsula would freeze foreign capital inflows across APAC. Recent Middle East conflicts alone have introduced volatility. More a timing risk than a structural one.

US Tariff Second-Order Effects

Expanded tariffs on China would shock APAC export industries, slowing regional employment and weakening Living sector tenant demand. Korea and Japan, with heavy manufacturing exposure, cannot dismiss this lightly.

POLICY RISKS

Australia May Federal Budget

If BTR tax reforms materialize, development pipelines freeze for months. Adjustments to MIT tax rates or foreign surcharge rules could overturn underwriting overnight.

Korea Regulatory Layers

Three Lease Laws — the 2020 reforms covering renewal rights, rent caps, and lease registration — obscure institutional return projections, while heavy corporate taxes structurally compress new-entry economics. Value-add and Conversion offer detours, but political cycle volatility must be accepted.

China Government Supply

Sustained government-led large-scale rental housing supply continues to suppress private multifamily returns. China Living must start from the premise that this market is subordinated to policy objectives, not profit maximization.

EXECUTION RISKS

Construction Cost Inflation

APAC major cities' construction costs have risen 25–35% versus 2020 levels on average, with individual project-level escalations running higher in select submarkets. Seoul in particular, with land prices at historic highs, sees greenfield BTR IRR converge toward negative. New construction can no longer pencil out without government incentives.

Operational Labor Shortage

Aging populations tighten labor supply for facility management. In senior living, this is critical. Operator selection matters more than location selection.

ESG Regulatory Expansion

European-standard ESG regulations spread into APAC, growing CapEx burden on existing assets. But these costs convert, over time, into Green Premium and requirements for pension capital. Preemptive assets secure advantages.

None of these risks, on its own, overturns the sector's structural outlook. But each can seriously erode the returns of specific strategies. Korea's Value-Add and Conversion strategies are sensitive to regulation and tax; Core strategy is sensitive to rates; Opportunistic is vulnerable to execution risk. Each strategy carries a different risk tolerance — and this is the real reason portfolio diversification exists.

> *Each strategy carries a different risk tolerance — and this is the real reason portfolio diversification exists.*

THE OPERATING DISCIPLINE

In APAC Living 2026, market selection is no longer enough. It is the combination of capital structure and execution capability that produces alpha.

In 2026, APAC Living moves from *"emerging"* to *"core."*

Alpha no longer comes from market selection alone.

The combination of capital structure and execution capability has become the decisive variable.

Remarble

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COLOPHON

About this Edition

This longform essay synthesizes 2026 outlooks from 18 leading global research and investment houses with Remarble's proprietary analytical framework and classical urban economics theory (Alonso · Marshall · Glaeser · Tiebout).

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